

also setting up urban fulfilment centres that will carry the next set of assortments. They may not offer 10-minute delivery but could deliver in 25-30 minutes and carry a larger assortment.

Many players have figured out how to serve 10,000 items in 10 minutes. But as you increase the assortment, serving it sustainably requires the strength of the supply chain. The next phase will be about leveraging our existing scale and technology to bring as many of those 4.5 million SKUs closer to customers as possible. Speed is a game we want to win over time—we want to have the fastest speed for the largest assortment and give it for free to our Prime customers.

And when we say 300 cities and 3,000 stores, you cannot achieve that by focusing only on metros. You have to get into Tier-II, -III and -IV cities. We launched Tirupati just a few weeks ago and have seen 5x growth in the last 14 days. In September, we are expanding into 50-plus Tier-II and -III cities, moving towards the 300-city target.

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So, will Amazon eventually be able to serve not just high-demand products but also items that customers may need once every two or three months?

Once we have scale, we could carry many products that a customer may buy once every four months, but if there are enough customers in that neighbourhood, collectively they may generate demand for two or three units a day. That is the selection we need

to figure out how to carry.

And then there is the question of large-size items. Micro-fulfilment and urban fulfilment centres are also constrained by space. So how do you carry that selection in that space? That is where the technology and tools come into play.

As we go from where we are today to 300 cities and more than 3,000 stores in the coming months and years, there will be investment in these facilities. But the payback is there because we are seeing frequency increase. It is an investment in the future because we already have a set of Prime customers, we have invested in India, and we are here to build a long-term sustainable business.

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The quick-commerce sector is seeing a lot of capital being deployed, but investors are increasingly demanding profitability. What is Amazon's focus—market capture or profitability? What is the roadmap over the next two years?

If you look at any decision we make at Amazon, we ask a few questions. First, is what we are building differentiated and something customers really value? It checks the box. Customers are going to value it.

The next question is whether it [quick commerce] is going to be big. It is already big, and given the way it is growing, it is going to be much bigger. So, it checks that box as well. **BT**

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and a massive ecosystem. But deep pockets do not automatically solve the customer-acquisition problem.

BigBasket has perhaps the most complicated task. A company that once commanded an estimated 70-80% of India's online grocery market now has to establish where it fits in a quick-commerce market that has fundamentally changed the rules of online grocery. It has also brought in a new CEO as the Tata Group's digital businesses undergo a broader transition. JioMart, too, has entered the race, though its path in quick commerce remains less clearly defined.

According to Badri Narayanan Gopalakrishnan, founder Infisum, a research consultancy firm, Blinkit, Instamart and Zepto together account for around 90% of the quick-commerce market, leaving the remaining three players—Flipkart Minutes, Amazon Now, BigBasket—to compete for the balance, with each currently in the single digits.

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MOVING BEYOND GROCERY

Grocery is a high-frequency category, but it is not a high-margin one. Milk, bread, vegetables, fruits and staples may bring consumers to the platform regularly, but they leave relatively little room to absorb the cost of dark stores, delivery and customer acquisition.

That is why the next battleground is moving beyond the grocery basket.

According to Redseer estimates, grocery still accounts for 71% of quick-commerce GMV. The remaining 29% comes from non-grocery categories, with beauty and personal care alone accounting for more than 8% of total quick-commerce GMV.

For platforms, these categories are attractive because they can potentially deliver better margins, larger baskets and more opportunities for private labels. The strategy is